



Oxford Cambridge and RSA

Predicted Paper — Advanced

GCSE (9–1) Economics

J205/02 National and International Economics

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. **Do not write in the barcodes.**

Centre number Candidate number

First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 24 pages.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Write your answer to each question in the box provided.

- 1** A country experiences negative real GDP growth for two consecutive quarters, a rising unemployment rate and an inflation rate above target. The country is most accurately described as experiencing
- A** an inflationary boom
 - B** a demand-side expansion
 - C** a supply-side boom
 - D** stagflation

Your answer **[1]**

- 2** Which of the following statements about CPI and the real burden of inflation on low-income households is correct?
- A** CPI overstates the inflation rate experienced by low-income households because it excludes housing costs
 - B** CPI understates the inflation rate experienced by low-income households because they spend a larger share of their income on essentials
 - C** CPI weights are identical for every household so the effective inflation rate is the same across the income distribution
 - D** CPI is calculated only from the spending patterns of the top 10% of the income distribution

Your answer **[1]**

- 3** The marginal private cost of producing an extra unit of a good is £20 and the marginal external cost is £8. The free-market equilibrium quantity is Q1 and the socially optimal quantity is Q2. Which statement is correct?
- A** $Q1 > Q2$, and the free market over-produces the good
 - B** $Q1 < Q2$, and the free market under-produces the good
 - C** $Q1 = Q2$, because external costs do not affect output
 - D** $Q1 > Q2$, only if demand is perfectly elastic

Your answer **[1]**

- 4** A country with a comparative advantage in capital-intensive goods chooses to impose a tariff on imported consumer electronics. According to the theory of comparative advantage, the most likely long-run consequence is
- A** a permanent increase in the country's real GDP
 - B** a reallocation of resources away from the country's most efficient industries
 - C** an improvement in the country's terms of trade
 - D** an increase in total world output

Your answer **[1]**

- 5** The table shows quarterly changes in a country's real GDP and CPI inflation rate.

Quarter	Real GDP change (%)	CPI inflation (%)
Q1	+0.6	+3.1
Q2	+0.1	+6.5

Q3	-0.2	+9.4
Q4	-0.4	+8.7

The data are most consistent with the country experiencing

- A** a demand-pull boom caused by rising consumer confidence
- B** deflation caused by a fall in aggregate demand
- C** stagflation caused by a negative supply-side shock
- D** strong export-led growth

Your answer [1]

- 6** A persistent current-account deficit financed by short-term capital inflows is risky because
- A** short-term capital can be withdrawn rapidly if investor sentiment changes, forcing a sharp depreciation
 - B** the country's financial account must balance to zero by definition
 - C** short-term capital inflows automatically eliminate the deficit
 - D** the country will always run a matching surplus on its capital account

Your answer [1]

- 7** Following a large negative supply-side shock such as a sharp rise in global energy prices, a central bank faces a difficult trade-off because
- A** raising interest rates deepens the fall in output but is needed to anchor inflation expectations
 - B** raising interest rates lowers inflation and raises output at the same time
 - C** cutting interest rates lowers inflation and lowers unemployment
 - D** monetary policy always acts with no time lag

Your answer [1]

- 8** The diagram shows the UK's effective exchange rate index (2010 = 100) and the UK current-account deficit as a percentage of GDP.

Year	Effective exchange rate index	Current account (% of GDP)
2014	102	-5.1
2016	90	-5.4
2019	83	-3.6
2024	80	-2.0

Over the period 2014 to 2024, the data are most consistent with

- A** a sustained depreciation of sterling accompanying a gradual narrowing of the current-account deficit
- B** a sustained appreciation of sterling causing the current-account deficit to widen
- C** a fixed exchange rate regime throughout the period
- D** a J-curve effect that has not yet reversed

Your answer [1]

- 9** A negative externality arises from the consumption of a demerit good. A government that wants to internalise this externality should
- A** impose an indirect tax equal to the marginal external cost at the socially optimal quantity

- B** provide a subsidy equal to the marginal external benefit at the socially optimal quantity
- C** ban consumption of the good entirely regardless of the size of the external cost
- D** allow the free market to set the price, because the market always corrects external costs

Your answer [1]

- 10** Which of the following best explains why GDP per capita may overstate the rise in living standards in a rapidly developing economy?
- A** GDP per capita excludes foreign direct investment
 - B** Rapid growth may be accompanied by rising environmental costs and inequality that GDP per capita does not capture
 - C** GDP per capita is a flow variable while living standards are a stock variable
 - D** GDP per capita is measured in nominal rather than real terms

Your answer [1]

- 11** An economy's long-run aggregate supply (LRAS) curve is most likely to shift to the right following
- A** a fall in the rate of interest by the central bank
 - B** a temporary cut in consumer taxes
 - C** an increase in the country's labour force and capital stock
 - D** a rise in the rate of CPI inflation

Your answer [1]

- 12** A UK resident receives £25,000 in dividends from shares in a US company and a UK company builds a new factory in Germany worth £150 million. In the UK balance of payments, these two transactions are recorded as
- A** the dividend in the current account; the factory in the financial account
 - B** both transactions in the current account
 - C** both transactions in the financial account
 - D** the dividend in the capital account; the factory in the current account

Your answer [1]

- 13** The Marshall–Lerner condition states that a depreciation of a country's currency will improve the current account only if
- A** the sum of the price elasticities of demand for exports and imports is greater than one
 - B** the price elasticity of demand for imports is less than one
 - C** domestic inflation exceeds foreign inflation
 - D** the country has a floating exchange rate

Your answer [1]

- 14** Which of the following best describes a criticism of globalisation from the perspective of workers in a developed economy?
- A** Globalisation always reduces consumer choice
 - B** Globalisation creates no employment in services or finance
 - C** Globalisation can accelerate the loss of jobs in import-competing industries
 - D** Globalisation raises transport costs and lowers international trade

Your answer [1]

- 15** A government imposes a tariff of 20% on imported steel to support domestic producers. The most likely effects on consumer and producer surplus in the domestic steel market are
- A** a rise in both consumer and producer surplus
 - B** a fall in both consumer and producer surplus
 - C** a rise in producer surplus, a fall in consumer surplus, and a deadweight welfare loss
 - D** a fall in producer surplus and a rise in consumer surplus

Your answer [1]

- 16** Behavioural economics suggests that information provision alone may fail to correct market failure because
- A** consumers are always perfectly rational and immediately update their choices
 - B** consumers exhibit cognitive biases such as present bias and status-quo bias that reduce responsiveness to information
 - C** firms have no incentive to provide accurate information
 - D** the marginal cost of information provision is always greater than the marginal benefit

Your answer [1]

- 17** The 'terms of trade' of a country refers to
- A** the ratio of export prices to import prices
 - B** the balance of payments on current account
 - C** the balance of trade in goods only
 - D** the exchange rate of the country's currency

Your answer [1]

- 18** The figure shows the sterling effective exchange rate index from 2007 to 2024.

Year	Effective exchange rate index (Jan 2005 = 100)
2007	105
2009	80
2015	95
2017	77
2024	80

The two largest falls in the index between 2007 and 2017 are most plausibly explained by

- A** the 2008 global financial crisis and the 2016 EU referendum
- B** the 2008 global financial crisis and the 2020 COVID-19 pandemic
- C** the 2010s eurozone crisis and the 2022 energy shock
- D** the 2008 global financial crisis and the 2024 general election

Your answer [1]

- 19** A rise in wages that is not matched by a rise in productivity will most likely
- A** raise real GDP and lower the price level
 - B** raise unit labour costs and contribute to cost-push inflation
 - C** leave firms' profit margins unchanged

D cause the long-run aggregate supply curve to shift right

Your answer **[1]**

20 The concept of 'sustainable development' is best described as

- A** development that meets the needs of the present without compromising the ability of future generations to meet their own needs
- B** any increase in real GDP per capita in the long run
- C** development in which only environmental indicators improve
- D** development funded entirely by government rather than the private sector

Your answer **[1]**

SECTION B**21****Extract 1****Stagflation risk and the Bank of England's policy dilemma**

Between 2022 and 2023 the UK economy displayed features of stagflation. CPI inflation rose to 11% in October 2022, while real GDP growth slowed sharply and the unemployment rate began to rise. The main shocks were external — particularly rising global energy prices — rather than the result of excess domestic demand.

The Bank of England faced a difficult choice. Raising interest rates more aggressively would help anchor inflation expectations, but at the cost of deepening the recession. Allowing inflation to remain above target for longer would protect output in the short run, but risked embedding higher inflation expectations and a wage-price spiral.

Selected UK indicators, 2022–2024

Year	CPI inflation (annual %)	Real GDP growth (%)	Unemployment rate (%)
2022	9.1	4.3	3.7
2023	7.3	0.3	4.0
2024	2.5	0.9	4.3

- (a)** Using Extract 1, explain what the data show about the UK economy between 2022 and 2023. **[2]**

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- (b)** Using Extract 1, calculate the 'misery index' (inflation rate + unemployment rate) for 2023. Show your working. [2]

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- (c)** Using the information in Extract 1, analyse how a wage-price spiral could prolong high inflation in the UK. [6]

[illegible]

- (d) (i)** Explain what is meant by 'stagflation'. **[2]**

[illegible]

- (d) (ii)** State two limitations of real GDP as a measure of living standards. **[2]**

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(d) (iii)* Evaluate the extent to which the Bank of England should continue to prioritise its 2% inflation target following a severe external supply-side shock. Use the information given in Extract 1 and your own knowledge. **[6]**

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Extract 2**Development and inequality in an emerging economy**

Over the last two decades India has experienced rapid economic growth and a substantial fall in extreme poverty. However, the benefits of growth have been unevenly distributed. The richest 10% of the Indian population now capture more than 55% of total national income, while the poorest 50% receive just 15%. Large regional differences persist, with some southern states showing much higher income per head than states in the north.

Policy debates in India focus on how to use the tax system and public spending to narrow these gaps. A more progressive tax system, combined with higher spending on public health, education and rural infrastructure, could raise living standards for the lowest-income households. Critics argue that raising taxes on higher earners could weaken incentives to invest and cause skilled workers to emigrate.

Illustrative income distribution indicators for a large emerging economy

Decile / indicator	Share of national income (%)	Average annual income (£, illustrative)
Top 10%	55	18,200
Middle 40%	30	2,500
Bottom 50%	15	1,000
Gini coefficient (0–1)	0.53	—

- (a)** Using Extract 2, explain what the data suggest about the distribution of income in this emerging economy. [2]

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- (b)** Using Extract 2, calculate the ratio of the average annual income of the top 10% to the average annual income of the bottom 50%. Show your working. [2]

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- (c)** Using the information in Extract 2, analyse how a more progressive income tax system could affect the distribution of income and economic growth. **[6]**

This image shows a full page of white paper with horizontal dashed lines, typical of primary school writing paper. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

- (d) (i)** Explain what is meant by a 'progressive tax'. **[2]**

- (d) (ii)** Other than income tax, state two policies a government could use to reduce income inequality. [2]

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This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Extract 3**Protectionism, trade wars and the global economy**

The last decade has seen a significant rise in global protectionism. In 2018 the United States imposed tariffs of up to 25% on a range of imports from China, and China retaliated with tariffs on US soybeans, vehicles and aircraft. Similar tensions have emerged between the European Union and China on electric vehicles, solar panels and steel. The World Trade Organization (WTO) has warned that the medium-term cost to world GDP could exceed 1 percentage point if protectionism continues to escalate.

Defenders of protectionism argue that tariffs protect strategic industries, safeguard employment and reduce dependence on unstable supply chains. Critics argue that protectionism raises prices for consumers, distorts the allocation of resources, invites retaliation and undermines the rules-based trading system that has supported global growth for seventy years.

Selected world trade indicators

Indicator	2010	2024
World exports of goods (US\$ trillion)	15.2	24.1
Share of world goods trade, China (%)	10.3	14.5
Share of world goods trade, United States (%)	11.4	9.9
Average applied MFN tariff (%)	3.2	4.8

- (a)** Using Extract 3, explain the change in China's share of world goods trade between 2010 and 2024. **[2]**

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- (b)** Using Extract 3, calculate the percentage increase in world exports of goods between 2010 and 2024. Show your working. **[2]**

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- (c)** Using the information in Extract 3, analyse how a tariff imposed by one country on another country's goods can affect both countries. **[6]**

[illegible]

- (d) (i)** Explain what is meant by a 'tariff'. **[2]**

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- (d) (ii) Other than tariffs, state two forms of protectionism. [2]

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- (d) (iii)*** Evaluate the extent to which free trade always benefits developing economies. Use the information given in Extract 3 and your own knowledge. **[6]**

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END OF QUESTION PAPER

EXTRA ANSWER SPACE

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